

Marlow & Finch

Omnichannel Home & Lifestyle Products Retailer

Problem Statement

Marlow & Finch is experiencing simultaneous revenue contraction and profitability deterioration. Total revenue declined year-over-year in every quarter of FY25, while gross margin fell from 52.4% to 44.9% (–7.5 percentage points). **Although DTC continues to grow, Retail Stores and Wholesale—the company’s largest revenue contributors—are declining sharply.** Leadership does not yet know whether the primary driver is **weakening customer demand, poor inventory and merchandising decisions, or channel cannibalization from the growing DTC business.** The diagnostic must identify which factors are responsible, quantify their impact, and prioritize the highest-value interventions.

1. Company Overview

Marlow & Finch operates through three channels: Retail Stores, DTC E-commerce and Wholesale.

- **Retail :** 42 company-owned stores avg size 4,800 sq ft located in malls and lifestyle center formats managed by 620 employees.
- **DTC :** Company-owned website and marketplaces having around 58 employees to manage entire channel.
- **Wholesale :** Company have 310 wholesale partners meaning products are sold to third-party retailers such as department stores & specialty chains. This department is managed by the 34 employees responsible for account management, maintaining relationship.
- **Merchandising & Buying :** Responsible for assortment planning, category management & purchasing products having 45 employees to managed.
- **Supply Chain & Logistics :** This department have 112 employees and manages 2DC and overseas and domestic sourcing
- **Marketing / Promotion :** Around 40 employees are in this department their work is to promotes the brand, manages campaigns & customer relationships.
- **G&A :** 240 employees are in G&A section works internally and manage things like finance, IT, etc. They don’t interact with any customer.

2. Key Points

Some Key Points to know about the Company

- Company was founded in 2011 and headquarter is located in Denver and around 1150 employees are working.
- Products are divided into five categories: Kitchen, Dining, Textile, Décor and Storage & Organization.
- Since starting Company is known for its mid-premium design-led products by maintaining quality & in-store experience. They give preference to quality rather than price which means quality is not the issue for the company declining revenue.
- Seasonal Demand Q4 – as it generates 34-38% of revenue annually. That's why Q4 is important year for the Company.
- For Retail and DTC(e-commerce) the inventory is managed by the company itself. For Wholesale it is based on sell in return & markdown policy into contract note.
- We have 2 Years of data from Q1 FY2024 – Q4 FY2025 (8 Quarter).
- The company faces a double problem revenue is declining and gross margin is also declining, meaning it is selling less and earning less from each sale. Which I came to know after analyse the quarterly revenue section.

3. Business Problem

The main aim of the business is to analyse the data and find the reason behind the decline and give recommendations.

- Why Sales are declining?
- Why Gross Margin is declining?

❖ **NOTE :-** These are initial suggestion based on the data we have. Final root cause will be decide after detailed analysis of data made. After each guided question I write the initial suggestion like how we proceed further in the analysis

4. Important KPI's from the Data

Some of the important KPI's are

- Retail revenue: -11.7% YoY
- Wholesale revenue: -17.0% YoY
- DTC revenue: +8.8% YoY
- Gross margin: 52.4% → 44.9%
- Markdown rate: 23% → 31%
- Total inventory: (41.2M) - 22% above plan
- Aged inventory (>180 days): (9.8M) - 24% of total inventory
- Top 200 SKU in-stock rate: (81 %) down 11 points
- Estimated stockout impact: \$2.1M lost sales per quarter
- Comparable store sales: -2.1% → -11.7%
- Store traffic: -14.3%
- 11 of 42 stores are below four-wall profitability
- Decor revenue: -19%; gross margin 39.5%; sell-through 44%

5. Data Analysis

5.1 Revenue by Channel (Q4 FY25 vs. Q4 FY24)

Retail and Wholesale are declining while DTC is growing.

- Retail Revenue: -11.7% YoY
- Wholesale Revenue: -17.0% YoY
- **DTC Revenue: +8.8% YoY**

Questions

- Why Customers are not buying through retail stores?
- Whether we are giving more discount on DTC sites?
- Is Customer preference changes? Due to pricing or due to our competitor?
- Do we have sufficient stock for the demanded product?
- Do we maintain good relations with our customers or not?
- How many stores are not generating sufficient profit and what is the store traffic? whether customers are coming less or customer are not buying?
- Do we have proper inventory allocation as per location?
- Why we are having less gross margin in wholesale channel are the retailers are not buying or we are selling them at more discounted price?

Suggestion: Investigate all channels, best-selling products and stock. Check whether one channel is affecting another channel.

5.2 Gross Margin by Channel (Q4 FY25 vs. Q4 FY24)

Retail and Wholesale are declining while DTC is growing.

- Retail Margin: 41.2%
- Wholesale Margin: 38.1%
- **DTC Margin: 54.6%**
- Markdown Rate: 23% - 31%

Questions

- Which Category contribute more to the margin decline?
- Whether pricing is more or less from our competitor?
- How we are giving discounts like more or less? Because less margin means the product is sell in discount or by reducing pricing.
- How we are making contract / policy with our wholesalers?
- Why markdown rate is increasing by 8%?
- How we are ordering our inventory randomly or according to the demand of the product?
- How much discounts we are giving to our retail stores because they are located at malls and lifestyle centres?
- Are we focusing more on DTC?
- Due to the Inflation we are generating less revenue or due to more discounts?
- How we spend our money on marketing for 3 channels Are we spending more on DTC?

Suggestion: Investigate high-profit products and stores, category-wise gross margin, and the discount/markdown percentage. Also check whether high-revenue products or stores are actually generating good profit, and whether higher discounts are reducing the overall gross margin.

5.3 Inventory imbalance

Inventory is 22% above plan, with 24% (\$9.8M) aged over 180 days, creating pressure to clear old stock through heavy discounts.

- Total Inventory: 41.2M (22% more from planned)
- Aged inventory (>180 days): 9.8M (24% of Total)
- Markdown Rate: 23% - 31%
- Top 200 SKU in-stock rate is down 11 points.
- Decor is having more aged inventory & is also weakest perform category.
- Also due to stockout we are facing near about 2.1M loss in every quarter.

Questions

- Which were the best selling product?
- Which product generates less revenue or worst selling?
- Which were the best products location wise? And how we managed the stock of this product?
- Which were the products which are getting out of stock?
- Which products are creating problem and in stock from long time means they are excess in stock?
- The product which were in the aged inventory how they are performing on DTC website and in Q4?
- Company is having more inventory and also having problem of stock out are we purchasing right products?
- Are we purchasing product at more cost?
- How we are allocating the money for each category is this same or we are investing different amount of money?
- Why we increase inventory in 2025 by 22% is there any reason?
- Are we placing right product at right location or no proper allocation?
- If we overbuy things we have to sell product in loss or our money gets locked there or for storage it requires more storage then why we overbuying things?
- Why we failed to manage the inventory or where we lacking?

Suggestion: Investigate which products have more stock and aged inventory and which products are facing stockouts. Check whether the problem is due to overbuying or wrong inventory allocation, and improve stock planning to reduce markdowns and lost sales.

5.4 Store Fleet Underperformance (42 Retail Stores)

We have 42 retail stores, with revenue down around 12% YoY and more than double the stores below four-wall profitability. This needs further analysis

- Comparable store sales: -2.1% → -11.7% YoY
- Store Traffic: -14.3%
- 11 of 42 stores are below four-wall profitability.
- Inventory Turnover: 3.1x to 2.4x
- Average Ticket: 71 to 68

Questions

- Which store is generating more and least revenue?
- What is the reason behind the revenue is declining this is due to stock out or wrong product placement?
- Why customers are not coming whether the staff is good or we have bad location?
- If the customers are coming why they are not buying
 - Pricing Issue or Quality Issue
 - They are not getting the product they want
- Why the avg spending is less is it due to high price or inflation?
- Customer are not satisfied with the Service or the Ambience?
- Why 11 store are under four wall profit. Are we giving product in more price or less discount offers there than our competitor?
- Are we placing right product at right location or you don't think this is important point?
- In less profitable store how our competitor were performing were they like us in terms of revenue generation?
- In which region we are not generating average profit also are they all 11 stores are from same region or from different region?
- Is there any store who surpas DTC revenue or any wholsale shop?
- Why we are facing 10% revenue decline from previous year?
- How we managed all store last year what we are missing in this year?
Also check for the inventory allocation from last year?

Suggestion: Analyse store-wise revenue, traffic, conversion, average ticket and profitability to identify which stores are underperforming and why.

5.5 Decor category Weakness

Decor is one of the worst performing categories in our company. All the parameters are not good. And it also has most aged inventory. In order to make profitable business we have to analyse this and find the better plan to sell.

- Revenue growth: -19% YoY
- Gross margin: 39.5%
- Sell-through: 44%
- Revenue share: 22%

Questions

- Why Decor revenue is continuously dropping?
- Where we are generating most revenue from this category in which region and in which store?
- Decor Sales are low because we have old inventory is it?
- Why Company over buy decor products who manages this?
- Are we offering more price or we have low quality products?
- Why people are not choosing us is there any reason?
- Are we selling decor products on heavy discounted price due to the inventory is old?
- Or due to aging the product is outdated means product finishing or demand is over?
- Are we selling the product at right location?
- We are facing 19% loss as compared to previous year means we sell less product this year.

Suggestion: Analyse Decor sales, inventory, pricing and sell-through to find out whether the problem is low demand or product selection or pricing. Also check at any store are we generating profit.

5.6 Wholesale Decline

Wholesale is weak performer in all the channel after retail stores. We have total 310 wholesale doors we have to find the huge buyer cancels our orders or many small buyers. Because if the number is huge this may lead to more loss in future.

- Wholesale revenue: -17.0% YoY
- Gross Margin: 38.1%
- Total Wholesale Doors: 310

Questions

- Why the retailers are leaving us?
- Why large account holders stop taking products from us?
- In which reason we lost more numbers of retailers and why?
- Do we receive any negative feedback?
- If they are not taking goods from us there are few reasons?
 - Pricing Issue
 - Not maintain relationship
 - Quality Issue
 - No Discount
 - No Return or Markdown Rate policy in contract
 - Not proper support
 - Or we sell them only aged inventory which is may be outdated or now the customers don't want that
- Do we have list how many Wholesale doors we lost and estimate amount that we loss?
- Which are the top 3 wholesale doors we have how they are performing?
- How many employee we have in this department are they covering all areas taking orders and giving them goods?

Suggestion: Analyse whether the decline is because existing regular customers are ordering less, a small number of major customers are leaving, or many smaller customers are being lost. Also check whether account management and customer relationships are affecting orders.

6. Guiding Questions

This are the few question that I need to answer

- Which channel is contributing most to the total revenue decline?
- Is Retail decline mainly traffic, conversion or average ticket?
- Is Wholesale decline caused by fewer accounts, lower orders or lower sell-through?
- Is DTC growth reducing Retail sales in the same trade areas?
- Which categories are causing the largest margin decline?
- Are markdowns mainly caused by aged inventory, promotions or competitive pricing?
- Where is inventory too high and where are stockouts happening?
- Which SKUs and stores are responsible for the inventory imbalance?
- Which stores are underperforming and what do they have in common?
- Why is Décor underperforming compared with other categories?

7. Data Available for the Analyst

I need to use this data for answering each and every question

- **POS data** : Retail sales, transactions, SKU performance, discounts and store analysis, staff.
- **E-commerce data** : DTC orders, traffic, conversion, cart and returns.
- **Wholesale data** : Purchase orders, terms, sell-in by account.
- **Inventory / OMS** : On-hand, on-order, aging, allocation by location.
- **Merchandising Planning** : Open-to-buy, forecast vs. actual by category.
- **Store Traffic** : Customer engagement, traffic by store. This data is only available for 34 out of 42 stores
- **Marketing (Paid + CRM)**: Channel spending, email/loyalty performance, relation with customers but for this the access is not available

8. Expected Output

After covering all the analysis and question we have to solve this question

- A prioritized set of root causes, each supported by the underlying data rather than the hypotheses above.
- A view of which 2–3 issues account for the majority of the revenue and margin decline, to focus remediation effort.
- Specific, testable recommendations for Merchandising, Store Operations, and Wholesale leadership, with the metrics that would confirm impact.